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Recycling with the Best

Weekly Ship Recycling Report

14 March 2024 - 22 March 2024

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Highlights of the week

The ship recycling market across India, Bangladesh, Pakistan, and Turkiye presents a mixed landscape. In India, market conditions have shown volatility, initially marking an improvement but facing a downturn as the week progressed, potentially influenced by the Holi festival's impact on market sentiment. Bangladesh's market appears soft, yet certain buyers with access to LC facilities and robust yard capabilities show a pronounced interest, particularly in vessels deliverable promptly post-agreement. Pakistan's market continues to exhibit subdued activity, akin to the previous week, attributed to Ramadan's observance and a scarcity of tonnages maintaining current price levels. Meanwhile, Turkiye has experienced a modest uplift in its import market by approximately 5 USD, alongside stability in its local market.

In a striking revelation, a vessel initially sold for a minimal amount by a Japanese owner for supposed environmental recycling at a Dutch facility, is now at the center of an intense controversy. The facility's intention to sell the ship to a Chinese yard for restoration directly contradicts the directives of the Dutch environmental and transport supervisory authority ILT (Inspectie Leefomgeving en Transport), which has classified the ship as waste to prevent its export to non-OECD countries, including China. This situation not only challenges the principles of green practices but also poses serious legal and ethical dilemmas regarding the repurposing of the vessel, potentially bypassing international norms. The case, which highlights a profound hypocrisy in the application of environmental standards, is now before a Dutch court. The decision could significantly impact the global recycling industry by possibly allowing the ship, labeled as waste, to gain a competitive advantage through a legal loophole for EU based recyclers. This scenario raises questions about the integrity of environmental recycling practices and the potential for exploitation in the international arena. With a pivotal court hearing underway, the global ship recycling community eagerly awaits the outcome, which could redefine the very ethics of ship recycling.

Exchange Rates:

USD / INR ₹

This Week	83.35
Previous Week	82.86
Gained	0.51

USD / BDT ৳

This Week	109.70
Previous Week	109.79
Gained	0.09

USD / PKR Rs

This Week	278.14
Previous Week	279.24
Gained	0.28

USD / TRY ₺

This Week	32.04
Previous Week	31.30
Lost	0.74

India

Market instability ahead of Holi: fluctuations signal temporary corrections amidst changing sentiments.

- The current market conditions are somewhat volatile and exhibit signs of instability. Initially, we observed an improvement at the start of the week; however, as we approach the end of the week, there has been a noticeable downturn. This fluctuation can potentially be attributed to the forthcoming Holi festival, which may be impacting market sentiment and activity.

- A recurring trend in the market dynamics has been observed notably, in instances of minimal demand, an increase in buyer activity leads to a rise in vessel prices. This adjustment appears to temporarily correct market conditions. However, this correction is short-lived, as the escalated prices subsequently result in a return to low demand.

- We anticipate that the market might undergo a correction following the conclusion of the Holi festival.

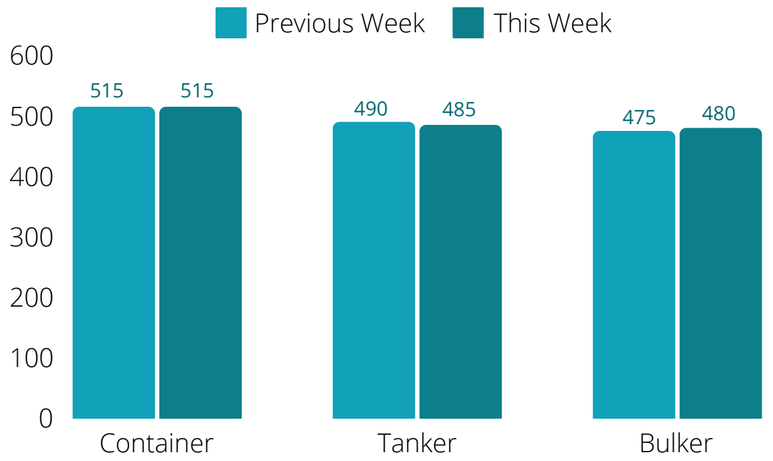
Beaching Dates

26 March to 30 March 2024

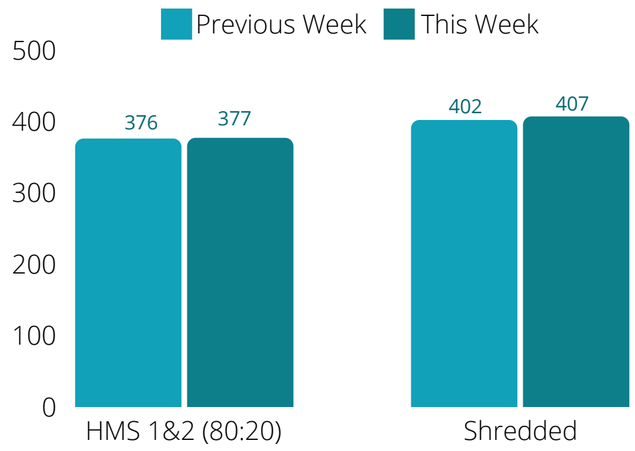
06 April to 13 April 2024

23 April to 29 April 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Market softness offset by selective buyers and anticipated currency-driven corrections.

- The current market conditions appear to be soft; however, there is a noticeable interest from few buyers. These buyers are distinguished by their access to LC facilities and well-established yard capabilities. It is significant to mention that the focus of these buyers is especially on vessels that can be delivered within a month after the agreement is signed.

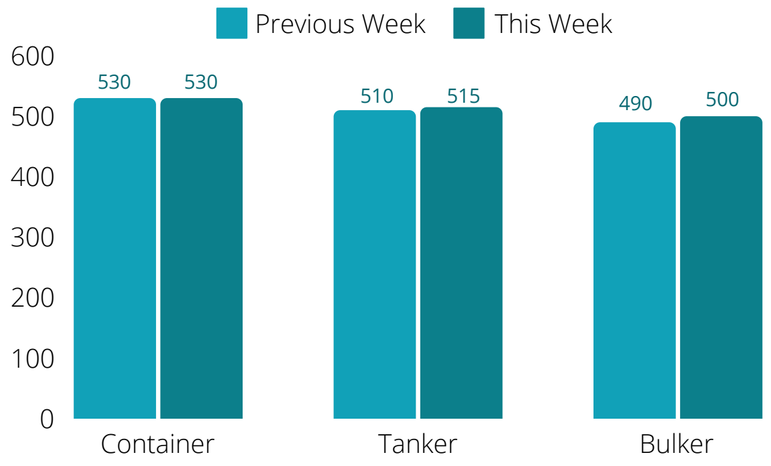
- We anticipate potential market corrections in the near future due to improvements in Bangladesh's currency exchange rate, which is expected to continue enhancing.

- The recent trends in the country's financial sector indicate a shift in the money market crisis. Improvements in the foreign exchange market have been observed, with an increase in dollar reserves within banks. Concurrently, there is a noticeable strain on taka liquidity, which has adversely impacted the growth of private sector credit.

Beaching Dates

25 March to 28 March 2024
08 April to 11 April 2024
23 April to 26 April 2024

Price for Recycling Ships in Bangladesh



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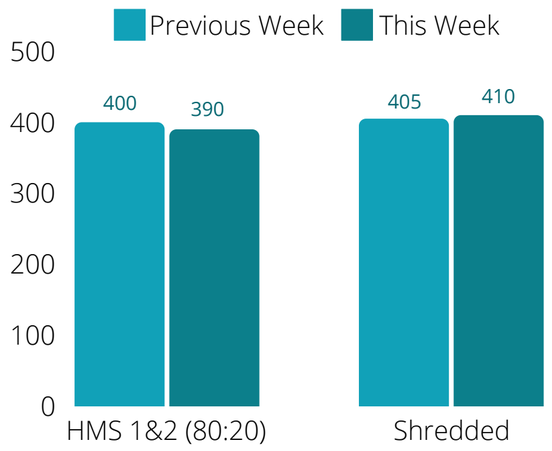


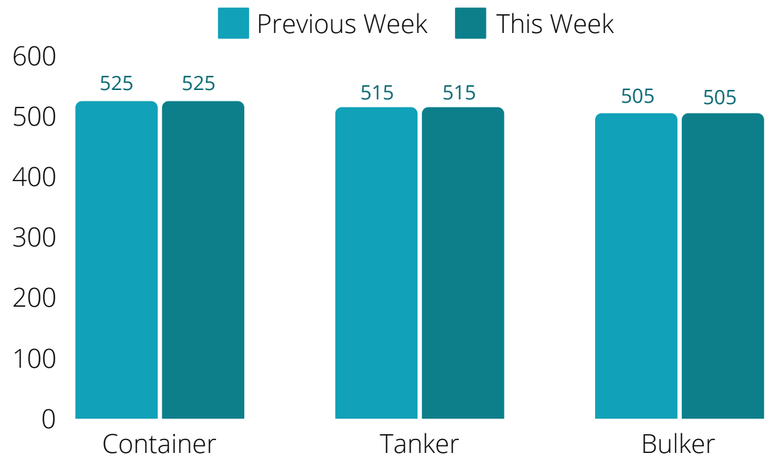
Pakistan

Market continues subdued trend amid Ramadan observance and tonnage scarcity.

- The market dynamics this week closely mirror the subdued activity noted in the preceding week. This pattern of market behavior is typically associated with the observance of Ramadan, during which we often see a slowdown in market activities. Additionally, the current level of pricing is being sustained due to a noticeable scarcity of tonnages.

- Pakistan is pursuing its 24th medium-term bailout from the IMF, with the objective of implementing lasting structural reforms. This initiative, leading to an agreement that releases 1.1 billion USD in funds, is centered on fiscal consolidation, reforms in the energy sector, controlling inflation, and fostering the growth of the private sector.

Price for Recycling Ships in Pakistan



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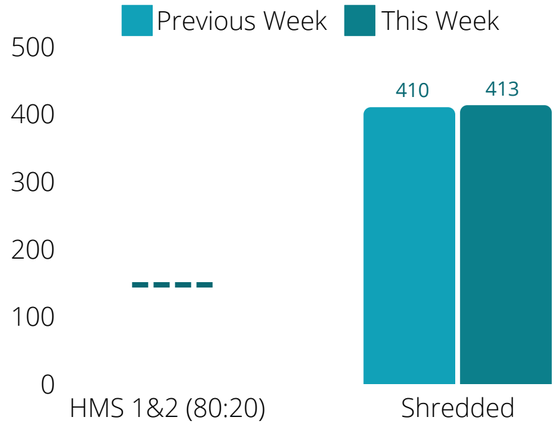


Beaching Dates

Throughout the month

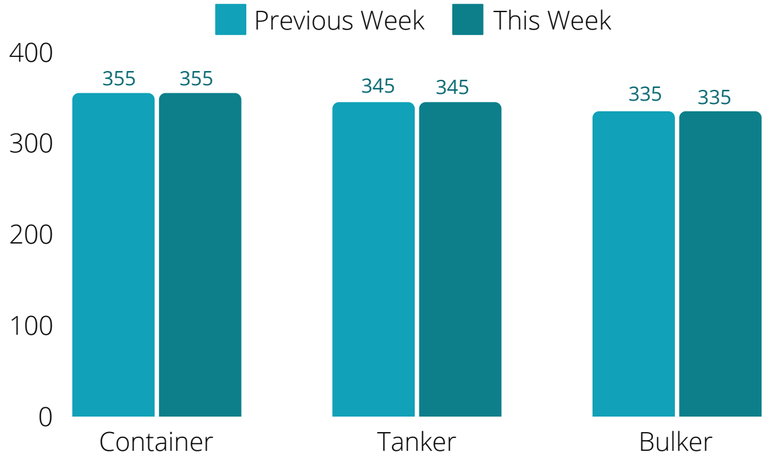
Türkiye

Import market witnesses slight enhancement while local market maintains stability.

- There has been a modest improvement in the import market, with an approximate increase of 5 USD. However, it's important to note that the local market has remained stable during this period.

- The Central Bank of Turkey has announced an unexpected increase in its key policy rate, the one-week repo auction rate, from 45% to 50%. This decision comes as a response to the inflation rate for February, which exceeded expectations, continuing efforts to stabilize the nation's inflationary pressures.

Price for Recycling Ships in Türkiye



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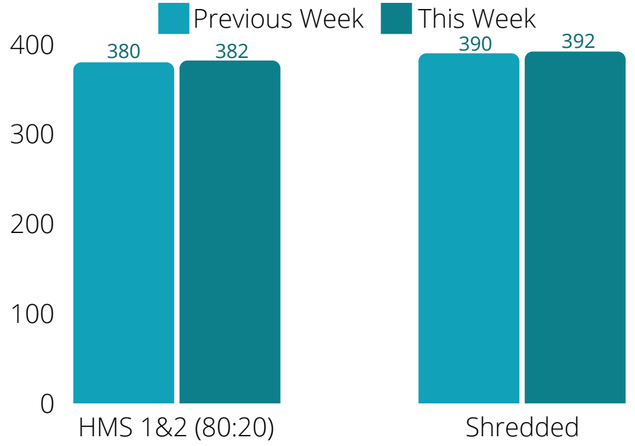
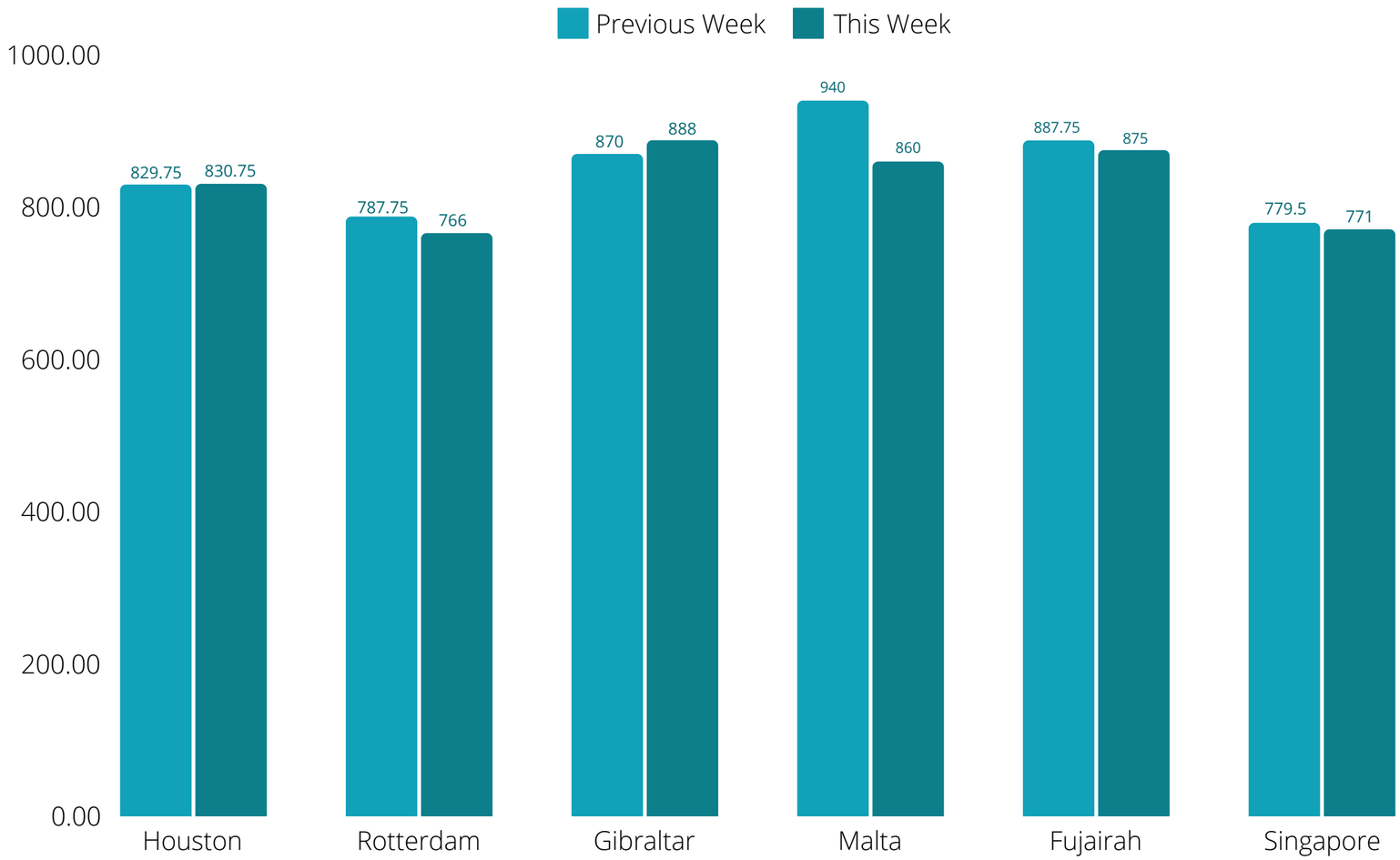


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 85.89
Previous Week	: 83.37
Movement	: + 2.52

WTI Crude

This Week	: 81.19
Previous Week	: 79.05
Movement	: + 2.14

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
STRIDE	CONTAINER	9149835	1997	SOUTH KOREA	8,952.69	AS - IS	HOUSTON	UNDISCLOSED
DENAK VOYAGER	BULKER	9108257	1996	JAPAN	9,519	DELIVERED	CHITTAGONG,BANGLADESH	539
YILDIZLAR 2	WOOD CHIPS CARRIER	9145695	1996	JAPAN	10,347	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
XIN RUN 66	TANKER	9094418	2004	CHINA	2,908.10	DELIVERED	CHITTAGONG,BANGLADESH	530
LMS LAXAPANA	PRODUCTS TANKER	8519382	1986	JAPAN	1,205	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
JAHAN BROTHERS	BULKER	9072226	1994	JAPAN	8,032	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED

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